How the Germans do bus franchising

Franchising is one of the three main types of bus operation in Germany, accounting for 40% of all bus kilometres nationwide



Anshel Cohen
KCW

With several British authorities considering whether to franchise their bus services, Germany can provide a useful point of comparison. Franchising has played an increasingly important role in the German bus market over the past few decades. During this time, bus usage has remained stable and is currently growing, while car travel has declined, decreasing by 15% since 2007. At the same time, small and medium-sized operators (SMOs) have thrived, winning 70% of all tendered bus kilometres in 2025. While this partially reflects more general transport policies, the way bus services are planned and delivered has played an important role. This article outlines two of Germany's three main types of bus operation and their relevance to the UK and examines how franchising, in particular, is currently evolving.

Germany's varied operating landscape reflects a decentralised government structure. Several aspects of local transport policy are decided by Germany's 16 federal states and, within these, local municipalities and districts (Landkreise). There are three main types of operation: In-house municipal operation, representing 42% of all bus-km awarded in 2025, franchising (40%) and private, non-franchised operators (16%). This article focuses on the latter two models.

Franchising

Unlike in the UK, franchising in Germany is not the preserve of large urban areas like Greater Manchester: most major cities directly award their networks to in-house municipal operators. Instead, it is more common in towns and rural areas. The equivalent of the English Local Transport Authority (LTA), responsible for tendering bus services, may be the municipality, the Landkreis, a region or a Verkehrsverbund. The latter is a specially created body which plans local and regional public transport and provides integrated fares. Its area can cover several municipalities and Landkreise. For simplicity, all types of transport authority in Germany are referred to as LTAs in this article.

German LTAs have a large degree of freedom to design their franchises within the framework set by federal and European law. However, a typical franchising model has emerged. This involves gross-cost contracts, with the LTA setting fares and taking on the revenue risk. While franchise sizes vary greatly, the average in 2025 was 500,000 route-km per year, representing the service provided by about 10 buses. Operators are usually responsible for providing the depots, fleet and staff. Most contracts have a length of 8 to 10 years. The LTA sets the timetable for all routes, sometimes expressed as minimum frequencies throughout the day. Branding requirements range from carrying the LTA's logo on the bus to an LTA-wide unified livery and interior design.

This model has become the norm in Germany because of the following key advantages for LTAs and operators:

- It enables a high degree of integration with local and regional rail and tram systems; timetables, tickets and branding are often co-ordinated between the different modes.
- It helps LTAs to evaluate bids in a simple, transparent manner.
- It provides a level playing field for all operators and limits the advantages of incumbency; competing operators do not need to design timetables or have detailed knowledge of current passenger patterns.
- It removes key risks for operators, notably revenue risk.
- It is arguably SMO-friendly, as evidenced by the continuing high participation of SMOs in the German market.



A franchised bus in Kiel, Germany

ANSHEL COHEN

Indeed, a 2015 project carried out by KCW for the Zweckverband Süd-Niedersachsen (ZVSN), a rural LTA in Lower Saxony, highlighted the role of a simple, low-risk bidding process in ensuring sustained competition. After a period where several tenders attracted only one bid, KCW recommended measures including moving from a net-cost to a gross-cost model and mandating set quality standards, enabling an evaluation of tenders based on price alone. To reduce the complexity of bidding further, ZVSN fully specified the timetable for every route, including departure times at all stops. In the subsequent 2016 tender round, competition was significantly increased, with at least four bids received per lot. This enabled ZVSN to improve the service quality, including through better vehicles and enhanced working conditions for operators' employees, while avoiding real-terms cost increases. Ten years later, competition for tenders in the region remains significantly above pre-2015 levels.

It is worth noting that the typical German system requires LTAs to undertake service planning and to define quality standards, with at best very limited opportunities to draw on operator expertise in these areas. Generally, significant service changes can only be mandated at the tendering stage - a window of opportunity that only appears up to once every 10 years (though limited adjustments are possible within active contracts). LTAs must, therefore, commit to financing their bus networks over a much longer period than the annual budgetary cycle. Of course, this

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has the positive effect of creating stability and dependability for both operators and, most importantly, passengers.

Private, non-franchised operators

Non-franchised, private bus operators are the closest concept that Germany has to commercial operation, albeit under a much tighter regulatory framework. In fact, under German federal law, LTAs must give private operators the opportunity to operate bus networks on their own initiative, before entering into a tendering process or direct award. In practical terms, LTAs must publicise the scope, quality requirements and time period of the franchise (or direct contract) that they intend to award, at least a year before the actual Invitation to Tender is due to be issued. Operators then have three months to apply to the Genehmigungsbehörde (similar to the UK traffic commissioner) to operate the services on a non-franchised basis for the lifetime of the proposed contract instead.

The Genehmigungsbehörde must only accept applications from operators who commit to fulfilling significant aspects of the LTA's published requirements. For example, they must operate the whole of the specified network, including routes where they will make a loss. If more than one operator applies to run services on a non-franchised basis, the operator offering the highest-quality network wins. Other operators cannot launch competing services during the period covered by the application.

While these operators do not have a direct subsidy contract with the LTA, compensation for the requirement to issue and accept loss-making tickets can make up a large part of their income. For example, many rural route bundles often combine public-facing routes with school services. While details vary across states and regions, compensation for accepting scholars' tickets is often generous, giving operators room to cross-subsidise any loss-making non-school services. This can explain non-franchised operators' presence in areas that would not be considered attractive commercial territory in the UK.

Factors including an increase in operating costs since Covid have reduced the prevalence of this model over the past few years, with some operators instead opting to go through the franchising route. Nonetheless, it continues to play a key role in some regions, and successful applications to operate non-franchised services actually increased in 2025 compared to 2024, representing 16% of all awarded mileage.

In UK terms, this model arguably represents a middle ground between Enhanced Partnerships and franchising - stricter, and with longer-term contractual commitments than an EP, but without the complexity of the franchising process.

Franchising and decarbonisation

The decarbonisation of Germany's bus services is emerging as a key driver of changes to the established franchising model. This is primarily brought about by a shift from operating to capital costs under decarbonisation: while day-to-day running costs for electric buses are lower than for diesel buses, capital costs, notably for charging infrastructure and the buses themselves, are much higher. This means that operators who own depots with charging infrastructure, in particular, have a significant advantage over those who do not. Moreover, the uncertainties and capital costs associated with the decarbonisation can be off-putting to some SMOs, who have built their operations around the use of diesel buses.

To combat these challenges, LTAs have implemented various changes to the tendering process. New contracts may have a lifespan of up to 15 years, allowing operators to recoup investment costs over a longer period. Some of KCW's clients, including the Landkreis of Karlsruhe, are making LTA-owned charging infrastructure available to successful operators, while others, such as Lippe, are providing both depots and electric vehicles. Further strategies include mandating handover rules for infrastructure and vehicles, so that these can be passed on to another operator at the end of the franchise.

Conclusion

While Germany's operating landscape reflects its decentralised governance model, an established franchising model has evolved which places service planning firmly in the hands of the LTA. The system succeeds in being SMO-friendly and enabling integration with other modes of transport and depends on both LTAs and operators accepting long-term commitments to their bus networks. Some aspects of the franchising system, such as asset ownership, are changing in response to the decarbonisation of bus services. One of Germany's other operating models, namely that of private, non-franchised operators, presents a middle ground between franchising and the British system of Enhanced Partnerships. ■

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Team Mobility UK, led by KCW's French sister firm TransMissions, is a partnership combining leading UK practitioners with senior international bus experts, dedicated to helping British local authorities design and implement effective bus strategies, including franchising. Team Mobility UK has close links with the Bus Centre of Excellence (BCoE), and team members attended the Quality Rural Bus conference in Hatfield and the Quality Bus conference in Portsmouth. Our experts have delivered presentations on topics including bus franchising practice in France and free public transport in continental Europe.

As active participants in the BCoE Bus Franchising Group, Team Mobility UK brings international perspectives to support BCoE's collective expertise and development. In addition, Trans-Missions provides study visits to Lyon, Sélestat and Narbonne in France, enabling UK decision-makers to learn about the French franchising model in practice and to engage directly with local authorities and operators. German study visits, organised by KCW, will also be announced soon.
www.team-mobility-uk.com

ABOUT THE AUTHOR

Anshel Cohen is a consultant at Berlin-based KCW and a member of Team Mobility UK. A transport planner with experience working in the UK, Germany and Austria, he is also the project manager of the Peak District's "mini-Switzerland" volunteer project team.
This article also features contributions from Astrid Karl and Fabien Laurent.